

some common types of deductions, and may help you plan things in a way that could reduce your tax bite next year.

One warning: If you don't earn a lot, you will be tempted to fill out the 1040EZ form, which is, well, easy to fill out. The problem is that you may miss out on some money-saving deductions. Although it may take a little more time, you should take a look at the more detailed forms like the 1040 and Schedule A so you don't pay more in taxes than you have to.

If you earn very little or have children or educational expenses, you may also qualify for valuable tax credits, which subtract money directly from the amount you owe the IRS.

Whether you owe money to the IRS or not, you will need to file your taxes. Make sure you do it. If you earn less than \$54,000, you can file online for free at the IRS website. Otherwise, try www.taxcut.com and www.turbotax.com, which will let you download the forms for roughly \$40 to \$50.

For specific ways to cut your tax bill, see Chapter 9.